Ethical Compliance Declaration

HCLTech Career Shaper Programme | III Year Industry Project | 2025-26

Project title: Loan Default Prediction System: Explainable Credit Risk Scoring with Drift Monitoring
Project No.: 137

Learner Name	Lakshay [SURNAME]	**Roll Number**	[ROLL NUMBER]
Admission Number	[ADMISSION NUMBER]	**Department / Class**	CSE, Class [CLASS]

I confirm that:

☑ **All dataset usage complies with the source licence.**

- The only data is the public Kaggle "Credit Risk Dataset" by laotse. It is used unchanged in data/raw/credit_risk_dataset.csv; cleaning writes new files to data/processed/ and never edits the original.
- No other data was collected, scraped or bought. The records are simulated credit-bureau data, not a real lender's customers.

☑ **No personally identifiable information (PII) is stored without consent.**

- The 12 columns hold no names, ids, addresses, phone numbers or email. Only age, income, employment length, home ownership and the loan and credit-history fields are present.
- The API logs only the application fields it scores, plus the score, decision and timing, to a local SQLite file (logs/predictions.db). Nothing is sent to another server.

☑ **AI tools used for code/writing are disclosed in the Appendix.**

- Claude (Anthropic) was used as a coding assistant to write and run the Python pipeline, the API, the tests and the EDA notebook, and to draft the report, the synopsis and the README.
- Every number in the documents comes from a command run on this project's files (BUILD_LOG.md and _evidence/). The learner is responsible for understanding and explaining the code and the results.

☑ **This project complies with the DPDP Act 2023 where applicable.**

- The prototype collects no personal data: the training file has no identifiers and the API logs only the application fields it scores.
- A real deployment would need a notice and consent before scoring a person, purpose limitation (credit decision only), a retention period for the log and erasure on request. None of these is built here.
- RBI Fair Practices Code: a rejected applicant is owed the reasons. The API returns up to three SHAP-based plain-language reasons; the REVIEW band (PD 0.20 to 0.50) and the kill switch (SCORING_DISABLED=1) keep a person in the loop.

Scope note: *this is a prototype. A real deployment would also need a privacy notice and consent before scoring, a log retention and erasure rule, access control on the API and a fairness audit across age and other groups (see the limitations in the README and the project report).*

Learner Signature: Lakshay [SURNAME] **Date:** 01 November 2026